



September 7, 2022

The Honorable Gavin Newsom
Governor of California
State Capitol
Sacramento CA 95814

**SUBJECT: AB 1262 (CUNNINGHAM) CONNECTED DEVICES WITH VOICE RECOGNITION
FEATURES
REQUEST FOR VETO**

Dear Governor Newsom:

We must respectfully urge you to **VETO AB 1262 (Cunningham)**. As further described below, this bill imposes untenable restrictions around the usage of smart speaker devices which are not only confusing and overly-restrictive, but also are unnecessary and inconsistent with the voter-approved public policy that was recently set forth in Proposition 24 (the California Privacy Rights Act, or CPRA).

By requiring consumers to “opt-in”, AB 1262 undermines the appropriate balance struck by Proposition 24 (the CPRA) in 2020.

First and foremost, we believe that the voter-approved CPRA struck the right balance between privacy concerns and competing interests by providing consumers the ability to “opt-out” of the sale or sharing of their personal information. Now, less than two years later, **AB 1262** would reverse that approach by requiring consumers to “opt-in” before their smart speaker device can be used. This not only undermines that balance but is entirely inconsistent the CPRA’s technology- and industry- neutral approach in creating comprehensive privacy policy in California.

Notably, consumers who purchase smart speakers know that these speakers have one core function and buy these products for that purpose. Yet, if a customer does not opt-in to the retention of their data when using their smart speaker device, the device will not work. Retention of data is necessary to make calls, play music, shop online, and use applications to perform household functions, such as turning on lights or opening doors. Accordingly, creating this extra step for consumers who buy these devices is not only unnecessary, but frustrating as consumers know what these devices do at the time of purchase.

Recent amendments create more confusion and compliance challenges.

Amendments taken recently in the Senate significantly restructured the bill, creating a problematic new distinction between connected TVs and smart speakers. Previous versions proposed to treat connected TVs and smart speakers the same. By now separating the two terms, **AB 1262** creates confusion. As defined, a connected TV is a device that receives and reproduces television signals. It is unclear whether a smart speaker with an integrated screen is connected to a video streaming service would be a “television signal”. If so, this bill would treat a device with a 12” screen as a smart speaker but one with a 12.1” screen as a TV. Such amendments create a distinction without a difference and make it more difficult for manufacturers to comply with its requirements.

AB 1262 inexplicably fails to recognize that transcriptions are not voice recordings and should not be treated as such.

Additionally, none of the amendments taken throughout the legislative process address our concern about the bill covering transcripts of voice recordings rather than simply voice recordings. Grouping transcripts together with more sensitive voice data obscures the distinctions between the two forms of data and the associated privacy risks. Transcripts are already considered a form of protected personal data under the CPRA, and **AB 1262**'s approach adds nothing but confusion.

AB 1262 is overly restrictive, leading to undesirable outcomes and interfering with a business's ability to retain data for a reasonable period of time to improve the accuracy of these devices

Finally, **AB 1262** is overly-restrictive and prohibits the use of data collected from "incorrect activations" for any purpose other than improving the device. **AB 1262** requires a user to opt-in before a business can use an audio recording associated with an incorrect activation to improve the accuracy of the device. As a threshold issue, businesses cannot know whether the information was captured through incorrect activation unless and until it analyzes that information, which takes time. Accordingly, in-order to operationalize this bill, it is important that a business be permitted to retain data for a reasonable period in order to determine if it is the result of incorrect activation.

The only way to improve the accuracy of voice recognition devices and prevent future incorrect activation is to allow the use of this information to help improve device functionality. Analysis of this data is also important for improving functionality for users with different speech patterns, including people who suffer from ailments that affect their speech. Requiring consumers to opt-in to the use of data to improve their own products and services will increase user frustration and slow down the ability to improve these devices. These restrictions will hamper innovation and prevent the advancement of this technology. It will also make it harder for new products and companies to enter the market and compete.

For these reasons, we respectfully **REQUEST** you to **VETO AB 1262 (Cunningham)**. If you have any questions regarding our position, please contact Ronak Daylami, CalChamber policy advocate, at ronak.daylami@calchamber.com or 906-205-7840.

Sincerely,



Ronak Daylami
Policy Advocate
California Chamber of Commerce
on behalf of

American Association of Advertising Agencies
Association of National Advertisers
California Chamber of Commerce
Civil Justice Association of California
Consumer Technology Association
Interactive Advertising Bureau
TechNet